IC103 Lecture 4: Market Structures — Key Takeaways

Introductory Economics for Business and Finance

1. Why market structure matters

- Market structure affects pricing, competition, efficiency, entry and profit.
- We classify markets by:
  - Number of firms
  - Ease of entry/exit
  - Product similarity
  - Market power



Market structure influences how firms behave and the outcomes for consumers and society.

2. Concentration ratio

- The concentration ratio is the combined market share of the largest firms in an industry.
- Higher concentration usually means less competition.
- Concentration is influenced by economies of scale and barriers to entry.



Example: CR_4

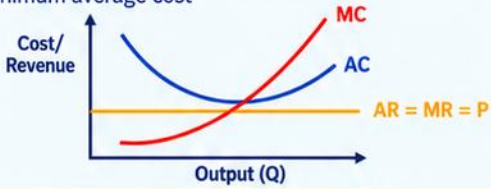
Sum of the market shares of the top 4 firms in the industry.

A higher concentration ratio suggests a more concentrated and less competitive market.

3. Perfect competition

- Many buyers and sellers
- Identical products
- Free entry and exit
- Perfect information
- Firms are price takers
- Firm demand is perfectly elastic at the market price
- Profit-maximising output where MR = MC
- In the long run: normal profit and production at minimum average cost



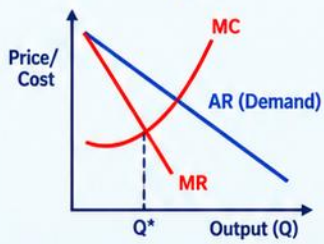


Firms are price takers and AR = MR = Price.

4. Monopoly

- Single seller
- Protected by barriers to entry
- Faces a downward-sloping demand (AR) curve
- MR lies below AR
- Chooses output where MR = MC
- Then charges the price from the demand curve
- Compared with perfect competition: higher price and lower output





Advantages

- Economies of scale
- Profits may support investment

Disadvantages

- Higher prices
- Lower output
- Less competitive pressure

5. Monopolistic competition

- Many firms
- Differentiated products
- Free entry
- Some control over price
- Short run: supernormal profit possible
- Long run: entry reduces demand, firms earn normal profit
- Firms often compete through advertising, branding, quality and service



Long run: excess capacity (firms produce at an output below minimum average cost).

6. Oligopoly

- A few large firms dominate the market
- High barriers to entry
- Firms are interdependent
- They may compete or collude



Non-collusive models

Cournot	Firms choose quantity.
Bertrand	Firms choose price.
Kinked demand curve	Helps explain price stability (firms are reluctant to cut prices).

7. Key comparisons to remember

Perfect competition	Monopoly	Monopolistic competition	Oligopoly
Many firms	One firm	Many firms	Few firms
Identical products	Barriers to entry	Differentiated products	Interdependence
Price takers	Market power	Some control over price	May compete or collude

8. Exam essentials

- **Concentration ratio** measures how concentrated a market is.
- In profit maximisation, firms choose output where MR = MC.
- Under **perfect competition: AR = MR = Price.**
- **Monopoly** usually produces **less and charges more** than perfect competition.
- **Cournot** = quantity, **Bertrand** = price.